EXECUTIVE SUMMARY

I. Introduction

The Municipality of Solana was founded on August 18, 1952 and was named after then Governor Antonio Urbiztondo Marquez dela Solana. It is a first-class municipality covering an area of 277.22 square kilometers, with 38 barangays and about 88,445 inhabitants. The Municipality is surrounded by the following: on the east by the magical Cagayan River, bounded on the north by the Municipality of Amulung, on the south by the Municipality of Enrile, on the southwest by the Province of Kalinga, and on the northwest by the Municipalities of Piat and Tuao.

The audit covered the accounts and operations of the Municipality for the year 2025 and was aimed at determining whether management presented fairly its financial statements in adherence with generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial, compliance, and performance audits were conducted to achieve these audit objectives.

The Audit Team performed post-audit of disbursements and examination of cash and accounts of accountable officers, conducted interviews and walkthroughs, reviewed and analyzed financial statements and related accounting records, reviewed the implementation of programs, projects, and activities, and performed other audit procedures as deemed necessary.

II. Scope and Objectives of Audit

The scope of the audit covers the period ending December 31, 2025.

The objective of the audit is to determine whether the resources of the Municipality have been managed, expended or utilized in accordance with existing laws, rules and regulations, and safeguarded against loss or wastage through illegal or improper disposition, with a view to ensuring efficiency, economy and effectiveness in the operations of government. The audit also aims to allow the Audit Team to render an opinion on the fairness of the financial statements of the Municipality.

III. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, and obligations of the Municipality for the year ended December 31, 2025, with comparative figures for CY 2024, are as follows:

Accounts	2025	2024	Increase/ (Decrease)
Financial Condition:			
Assets	₱1,238,370,429.98	₱1,146,475,237.91	₱91,895,192.07
Liabilities	333,577,540.69	276,738,094.15	56,839,446.54

Accounts	2025	2024	Increase/ (Decrease)
Government Equity	904,792,889.29	869,737,143.76	35,055,745.53
Results of Operation:			
Income	449,380,526.18	380,075,107.05	69,305,419.13
Expense	415,111,710.44	368,983,685.62	46,128,024.82
Appropriations and Obligations:			
Appropriations	421,124,739.34	423,057,604.16	(1,932,864.82)
Obligations	420,195,592.30	387,377,687.34	32,817,904.96

IV. Operational Highlights

Among the reported accomplishments of the Municipality in CY 2025 is the completion of the following major infrastructure projects, among others, funded from various sources:

Project/Program/Activity Name	Contract Amount
Supply and delivery of various medical, dental and laboratory supplies	₱1,273,734.00
Supply and delivery of various drugs, medicines and vitamins	1,348,174.00
Rehabilitation of multi-purpose building	3,144,391.74
Establishment of manpower development center Phase III	1,405,909.78
Construction of multi-purpose building Phase III	1,515,309.97
Rehabilitation of road along Andarayan National High School	4,351,851.97
Concreting of road	18,315,509.18
Improvement of Municipal Health Office Drop Off Area (Enclosure)	1,961,696.04
Construction of elevated water system	2,524,414.05
Construction of multi-purpose building (3 rooms)	4,349,148.41
Construction of multi-purpose building (2 rooms)	3,118,822.49
Purchase of service vehicle	2,471,873.00
Purchase of rescue vehicle (with specialized body)	1,198,500.00
Concreting of road	3,304,427.90
Concreting of Farm to Market road	2,515,975.84
Supply and delivery of various drugs, medicines and vitamins	1,348,450.00
Supply and delivery of various medical, dental and laboratory supplies	1,273,566.00
Rehabilitation of Solana Public Market Phase 2 (Drainage Cover)	1,629,473.29
Rehabilitation of Solana Public Market Phase I (roofing works)	2,214,155.87
Construction of multipurpose building	4,865,772.09

Project/Program/Activity Name	Contract Amount
Concreting of Farm to Market Road	1,422,508.13
Concreting of Farm to Market Road	1,151,831.93
Purchase of dump truck (with specialized body)	3,899,000.00
Concreting of Farm to Market Road	2,180,403.53
Provision of materials for construction of resilient housing unit	1,518,476.00
Installation of street lightings	2,741,796.74
Rehabilitation / Concreting of road	3,096,097.74
Construction of perimeter fence at Sampaguita Public Cemetery	1,487,517.61
Construction of multi-purpose building extension	1,487,517.61
Rehabilitation of Road along Barangay Hall	1,635,772.32
Supply and delivery of automated chemistry analyzer machine for MHO	1,085,000.00
Supply and delivery of various drugs, medicines and vitamins	1,482,394.00
Supply and delivery of various medical, dental and laboratory supplies	1,342,067.00
Purchase of materials for Christmas decoration	1,398,980.00
Improvement of farm to market road in Barangay Padul	14,983,587.92
Supply and delivery of cattle in support to LEED Program / LGU Cattle Dispersal	1,579,000.00
Supply and delivery of various drugs, medicines and vitamins	2,021,834.00
Supply and delivery of various medical, dental and laboratory supplies	2,021,655.00
Construction of multi-purpose building with fence at Gadu Junction	1,085,810.15
Construction of elevated water system (5 units)	2,496,512.55
Total	**₱114,248,917.85**

V. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the presentation of the financial statements of the Municipality as at December 31, 2025 due to the following:

1. The extended dormancy of receivables totaling ₱2.519 million, without any provision for impairment or the initiation of a request for write-off, as prescribed by Sections 111 and 112 of Presidential Decree No. 1445, IPSAS 41, and COA Circular No. 2023-008, casts doubt on the reliability and accuracy of these accounts and consequently affects the fair presentation of the Municipality's financial statements.

2. Unadjusted reconciling items in the Bank Reconciliation Statements of the Municipality's Cash in Bank – Local Currency, Current Accounts resulted in an understatement of ₱0.349 million in the balances reported in the Statement of Financial Position as at December 31, 2025, contrary to Section 27 of IPSAS 1 and Items 3.1-3.3 of COA Circular No. 96-011, thereby affecting the fair presentation of the accounts in the Municipality's financial statements.

3. As of December 31, 2025, the project "Rehabilitation of Old Municipal Health Office Building" (Project ID No. 2024-24), with a total cost of ₱49.994 million, remained recorded under the Construction in Progress (CIP) account despite its completion on October 15, 2025, consequently resulting in the misclassification of the asset and the non-recognition of corresponding depreciation expense, contrary to COA Circular No. 2015-009 dated December 1, 2015 and IPSAS 45.

   Furthermore, the project's outstanding billing amounting to ₱2.501 million was not promptly accrued at year-end, contrary to the accrual basis of accounting under International Public Sector Accounting Standards 1, thereby resulting in the understatement of the Municipality's total obligations. These observations affect the fair presentation of the Municipality's financial statements as of December 31, 2025.

4. Misclassifications in various accounts totaling ₱56.175 million were observed, which are inconsistent with the Revised Chart of Accounts for LGUs under COA Circular No. 2015-009 dated December 1, 2015 and IPSAS 1, thereby affecting the fair presentation of the related accounts in the Municipality's financial statements as of December 31, 2025.

VI. Summary of Significant Findings and Recommendations

1. Significant internal control deficiencies have been identified in the management of cash and accountabilities of accountable officers in the MTO, contrary to the established guidelines outlined in Book II of the Local Treasury Operations Manual 2nd Edition.

We recommended that the Management, through the Municipal Treasurer, establish sound internal controls over the Municipality's cash management by requiring the Accountable Officers to undertake the following actions to address the observed deficiencies, specifically to:

A. Maintain separate cashbooks to clearly segregate accountabilities, enhance the accuracy of recording, and facilitate timely monitoring and reconciliation of each accountability;

B. Regularly reconcile the cashbook records with the accounting records, which should be prepared in sufficient detail by the MAO at least quarterly or as the need arises, to establish the specific balances of their accountabilities and

promptly make the necessary adjustments for any discrepancies noted, thereby ensuring the reliability and accuracy of financial reports;

C. Require all collectors to prepare the corresponding Reports of Collections and Deposits and to turn over all collections intact to the Liquidating Officer at the close of each business day, in accordance with existing regulations;

D. Strictly monitor accountable forms issued, including those distributed to barangays, by requiring the concerned accountable officers to fully account for and settle all collections pertaining to previously issued accountable forms prior to the release of additional accountable forms; and

E. Require the Liquidating Officer to strictly observe the daily deposit of collections with the authorized depository bank, to prevent the accumulation of significant balances of undeposited cash collections and strengthen safeguards over government funds.

2. **As of December 31, 2025, the Municipality achieved a notable 34.13 percent overall reduction in delayed remittances of withholding taxes, mandatory deductions, and contributions arising from government obligations and disbursements compared to CY 2024, reflecting improved management of its statutory obligations; however, delayed remittances totaling ₱0.854 million were still observed during the year, contrary to Section 69 of Presidential Decree No. 1445 and other applicable laws, rules, and regulations, which may expose the Municipality to potential penalties, interest charges, and compliance risks.**

   We recommended that the Management, through the Offices concerned, ensure strict compliance with the withholding and remittance of taxes, mandatory government deductions and contributions by promptly remitting intact all withheld funds and contributions during the month to the appropriate government agencies by the ensuing month, in faithful compliance with Section 69 of P.D. No. 1445 and other applicable laws, rules, and regulations.

3. **The Municipality's practice of computing withholding taxes on contract-related payments net of retention money, which is contrary to BIR Revenue Memorandum Order No. 23-2014 and BIR Revenue Regulation No. 4-2024, delays the recognition of tax liabilities and consequently results in the understatement of the Due to BIR account as at December 31, 2025, amounting to ₱0.619 million, while also effectively reducing the monetary value of the retention money by the same amount, representing taxes that should have been accrued and remitted from the unpaid retention at year-end.**

   We recommended that the Management, through the MAO and the MTO, ensure strict compliance with BIR RMO No. 23-2014 and BIR RR No. 4-2024 by

computing and withholding taxes based on the gross amount of contract payments prior to any deductions, including retention money.

Moreover, we recommended that the Management exert diligent efforts to identify and reconstruct the necessary details of the beginning balances of guaranty/security deposits amounting to ₱3,182,426.49, including supporting schedules and subsidiary ledger breakdowns, to ensure proper accounting thereof.

4. **The Municipality demonstrated optimal utilization of its 20% Development Fund through the full implementation all 31 programs, projects, and activities amounting to ₱73.804 million, or 98.95 percent of the total available fund, thereby contributing to the attainment of its targeted socio-economic outcomes.**

   We recommended that the Management continue its effort in ensuring that the PPAs for each budget year, funded out of the 20% DF, are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects to fully achieve the desired socio-economic targets and outcomes of the Municipality pursuant to DBM-DOF-DILG JMC No. 1 dated November 4, 2020 and Section 5.0 of DILG-DBM JMC No. 2017-1 dated February 22, 2017.

   We further recommended that the Management ensure the proper utilization of the remaining 20% DF savings amounting to ₱0.779 million by identifying and allocating these funds to other PPAs in accordance with applicable rules and the Municipality's approved plans and investment program.

5. **The Municipality substantially utilized ₱24.170 million, or 91.59 percent of the total available 5% Local Disaster Risk Reduction and Management Fund of ₱26.389 million in CY 2025, demonstrating an active implementation of PPAs, thereby advancing its objectives of mitigating disaster risks and enhancing disaster preparedness and response capacities, in compliance with Section 21 of R.A. No. 10121.**

   We recommended that the Management sustain its effort in ensuring that the PPAs funded out of the 5% LDRRMF for each budget year are well planned and procurement-and-implementation-ready to mitigate, if not totally prevent, delays in the implementation of projects to achieve the Municipality's objectives of mitigating disaster risks and enhancing disaster preparedness and response capacities, in compliance with Section 21 of R.A. No. 10121.

VII. Summary of Total Suspensions, Disallowances and Charges

The total unsettled audit suspensions, disallowances, and charges of the Municipality, as reflected in the Status of Audit Suspensions, Disallowances, and Charges (SASDC) for the year ending December 31, 2025, are as follows:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱17,378,943.64	-	-	₱17,378,943.64	0.00%
Current Year	-	-	-	-	0.00%
Total	₱17,378,943.64	-	-	₱17,378,943.64	0.00%
Disallowances					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%
Charges					
Prior Years	-	-	-	-	0.00%
Current Year	-	-	-	-	0.00%
Total	-	-	-	-	0.00%
Grand total	**₱17,378,943.64**	-	-	**₱17,378,943.64**	**0.00%**

VIII. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior year's audit recommendations embodied in the CY 2024 Annual Audit Report are summarized as follows:

Status of Implementation	Number	Percentage
Implemented	5	31.25
Not implemented	3	18.75
Not implemented and reiterated in CY 2025 AAR	8	50.00
Total	**16**	**100.00**